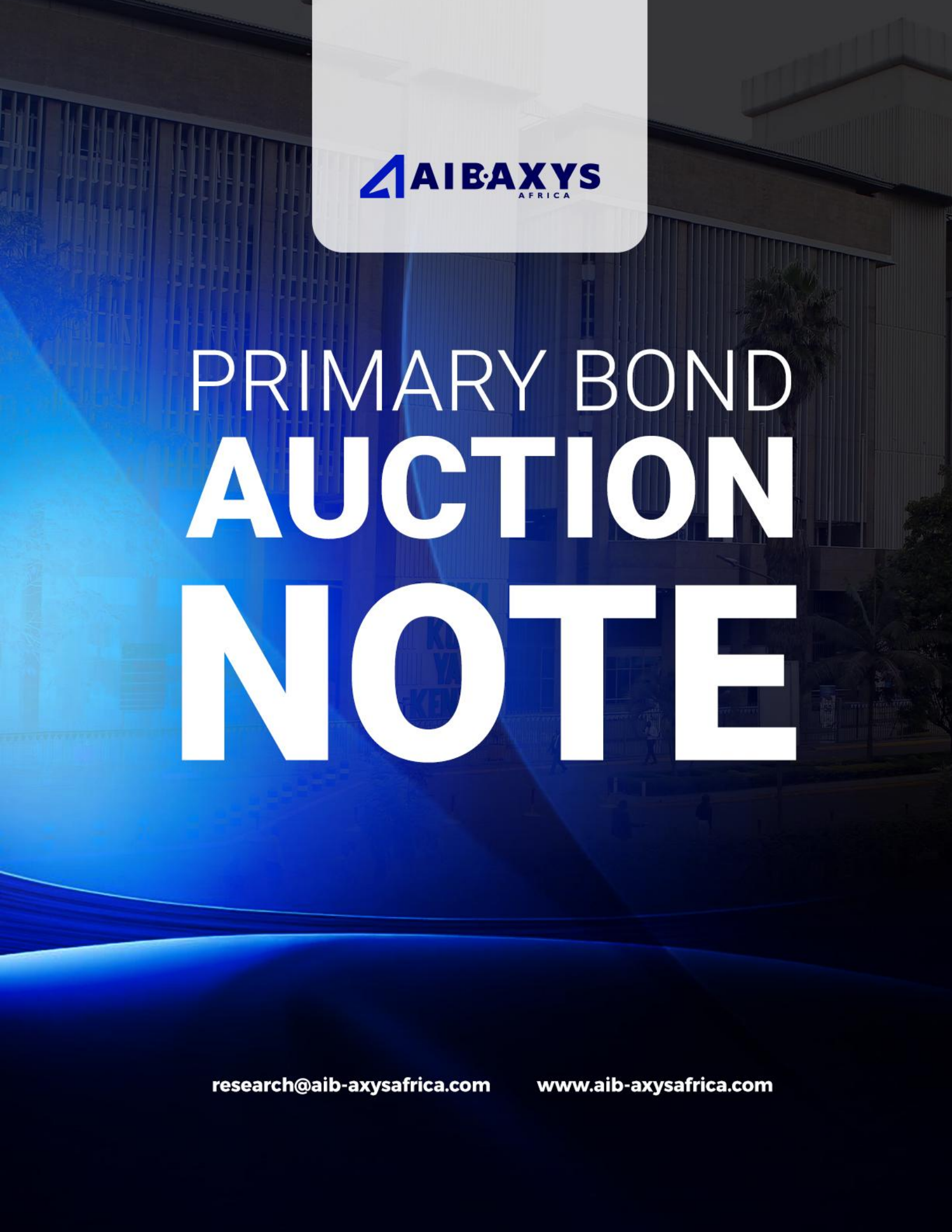

AIB AXYS
AFRICA
PRIMARY BOND
AUCTION
NOTE
research@aib-axysafrica.com
www.aib-axysafrica.com



AIB-AXYS June II 2026 Primary Bond Auction Note

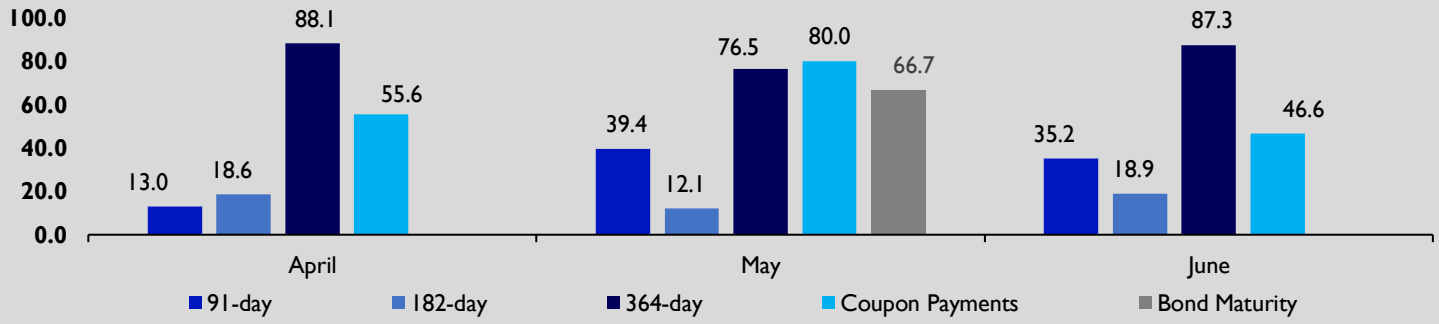
Summary

- **The Exchequer is seeking to raise KES 60.00Bn through the re-opening of the FXD1/2018/020 and FXD1/2021/025** treasury bonds earmarked for budgetary support in FY25/26.
- Authorities are facing approximately KES 188.00 Bn in debt obligations after two undersubscribed bond auctions; amid increased investor preference for Treasury bills (*particularly the 91-day paper*). At the same time, yields have gradually started to rise, as evidenced by recent bond and Treasury bill auctions. The overhang from the Middle East conflict has heightened uncertainty and contributed to inflationary pressures, complicating the monetary policy outlook.
- In addition, authorities continue to grapple with persistent revenue shortfalls and increasing reliance on the domestic debt market for funding. This trend is expected to persist in FY26/27, as indicated by the latest budget estimates, which point to significant dependence on domestic borrowing to finance the fiscal deficit.
- Against this backdrop, we expect aggressive bidding at the upcoming auction as investors seek to lock in competitive returns in an environment characterized by elevated inflation and rising yield expectations.
- **Our recommended competitive bidding yield is indicated in Table 1 on the right.**

Table 1: Key Auction Highlights

FXD1/2018/020 & FXD1/2021/025	
Issuer:	Republic of Kenya
Total Amount:	KES 60.0 billion
Purpose:	Budgetary Support
Tenor:	**FXD1/2018/020** - (11.8 Years)– Re-opened **FXD1/2021/025** - (20.0 Years)– Re-opened
Coupon Rate:	**FXD1/2018/020** – 13.2000% **FXD1/2021/025** – 13.9240%
Price Quote:	Discounted/Premium/Par
Period of sale:	9th June 2026 to 17th June 2026
Minimum Amount:	KES 50,000.00
Taxation:	10.00%
Maturity Dates:	**FXD1/2018/020** – 1st -Mar - 2038 **FXD1/2021/025** – 9th -April -2046
Non-competitive bids per CSD A/C:	Maximum KES 50 million per CDS A/c
Competitive bid per CSD A/C:	Minimum KES 2 million per CDS A/c
AIB-AXYS Competitive Bidding Range Recommendation:	**FXD1/2018/020 – 13.69%-13.89%** **FXD1/2021/025 – 14.74%-14.94%**

Governmnent Obligations Q2 2026 in KES Bn



Source: CBK, AIB-AXYS Africa Research

Term Structure of Interest Rates

Yields have started to trend higher, particularly at the short and mid segments of the yield curve, relative to the long end. This shift has largely been influenced by inflationary concerns stemming from the Middle East conflict, which disrupted fuel supply chains and heightened the risk of higher fuel prices feeding into broader inflation. At the same time, we have observed increased investor demand for Treasury bills, particularly the 91-day paper, relative to the 182-day and 364-day tenors. In our view, this preference for shorter-duration instruments suggests that investors are reluctant to lock in funds for extended periods, given expectations that yields could rise further, thereby presenting opportunities to secure higher returns at a later date.

The divergence is also evident across the broader yield curve. On a YTD basis, yields at the short and mid segments have increased by an average of 17.56 bps and 16.89 bps, respectively, while the long end has eased by an average of 11.43 bps. However, market sentiment has recently started to improve, with investors increasingly optimistic that a meaningful agreement could be reached between the conflicting parties in the Middle East. Such an outcome would ease concerns around fuel-linked inflation and provide greater clarity on the monetary policy path. In the meantime, policymakers have largely adopted a wait-and-see approach as they assess the inflationary implications of recent geopolitical developments.

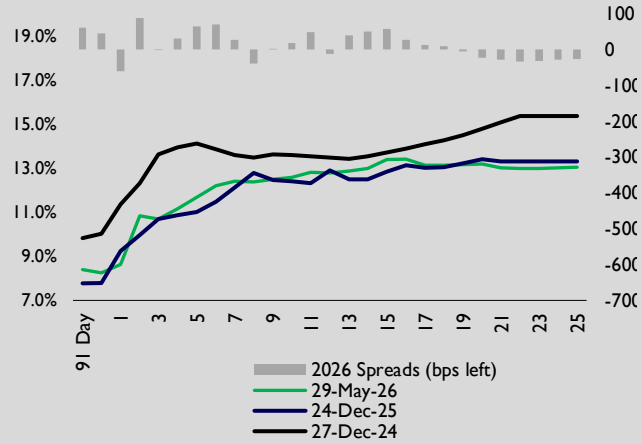
Market Liquidity

The Kenya Shilling Overnight Interbank Average (KESONIA) average of 8.75% in May was relatively stable compared to April's levels. Additionally, activities increased approximately by 2.4% in a monthly basis.

Price Levels

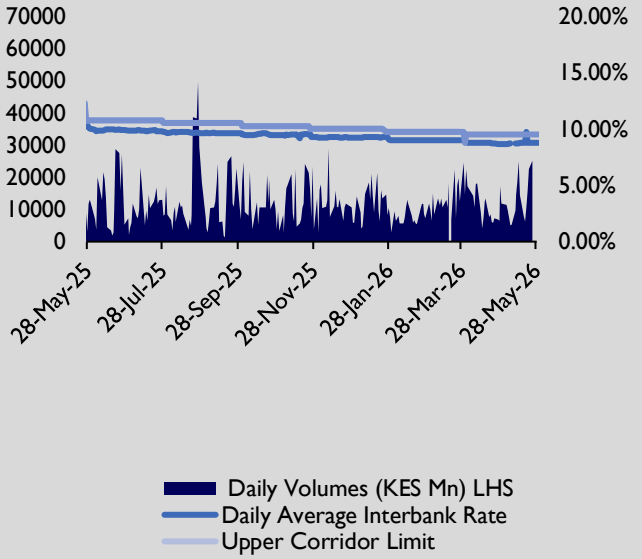
Headline inflation accelerated to 6.7% y/y in May 2026, up from 5.6% in April. While inflation remains within the CBK's target range of 2.5%-7.5%, the sharp increase signals mounting price pressures across key consumer expenditure categories. Higher food and transport costs primarily drove the increase. Food inflation rose to 9.4%, while transport inflation surged to 16.5% following substantial increases in fuel prices, with diesel, petrol, and kerosene rising by 18.4%, 8.4%, and 25.3%, respectively. Core inflation increased to 3.2% from 2.8% in April, while non-core inflation accelerated sharply to 16.0% from 13.4%, highlighting the growing contribution of food and energy-related shocks to headline inflation.

Chart 2: Domestic Yield Curve Evolution



Source: CBK, AIB-AXYS Africa Research

Chart 3: Interbank Rate and Volumes



Source: CBK, AIB-AXYS Africa Research

Chart 4: Price Levels

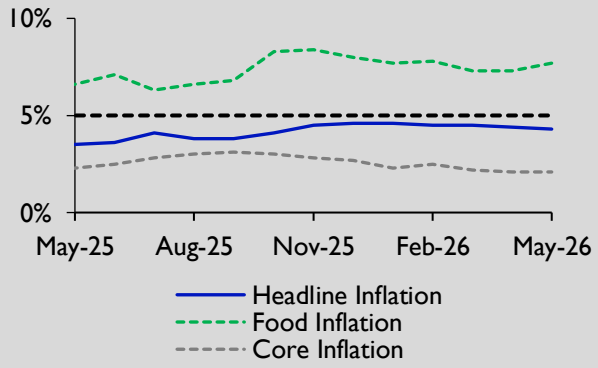
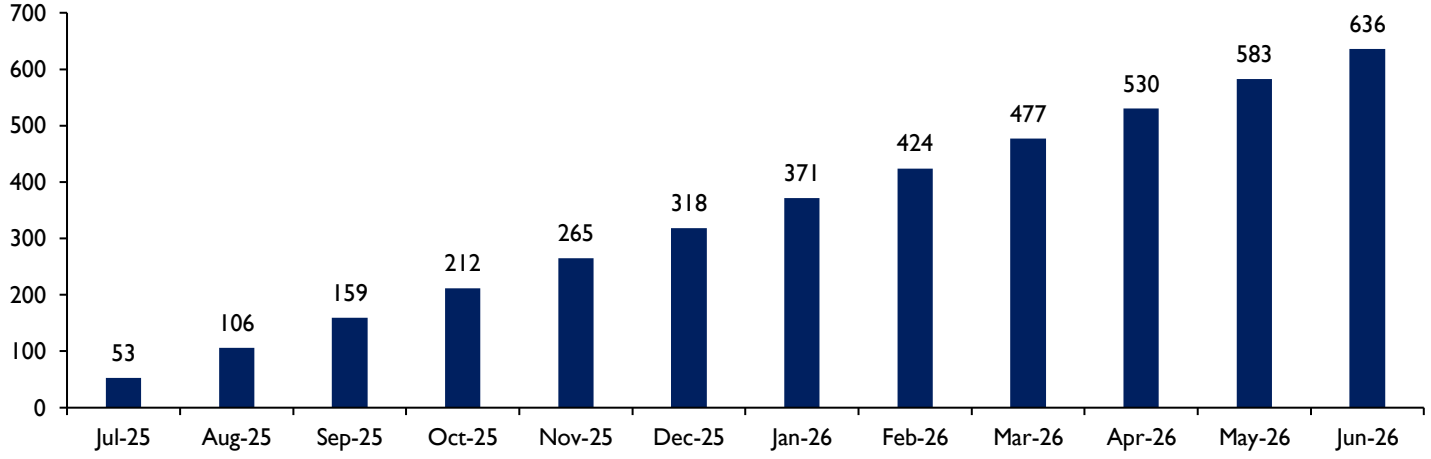


Table 2: Comparable Bond Duration Yields

Issue No.	Maturity Date	Remaining Tenor in Years	Outstanding Amount KES Mn.	Fixed Coupon Rate	Implied Yield to Maturity
Comparable Yields for the FXD1/2018/020 - (11.8 Years)					
FXD1/2022/015	6-April-2037	7.9	185,113.20	13.9420%	13.3990%
FXD1/2018/020	**1-Mar-2038**	**11.8**	**171.204.10**	**13.2000%**	**13.4400%**
FXD2/2018/020	5-July-2038	11.8	89,198.60	13.2000%	13.4911%
Comparable Yields for the FXD1/2021/025 - (15.2 Years)					
FXD1/2018/025	25-May-2043	17.0	242,569.15	13.4000%	14.0174%
FXD1/2021/025	**9-Apr-2046**	19.9	180,912.23	**13.9240%**	**14.1945%**
FXD1/2022/025	**23-Sep-2047**	21.4	216,157.30	**14.1880%**	**14.0980%**

Source: CBK, AIB-AXYS Africa Research

FY25/26 Domestic Borrowing Target (KES Bn)



Source: CBK, AIB-AXYS Africa Research

CBK Previous Primary Bond Auctions

	Offered Amount (KES, Mn)	Paper(s)	Duration at Issuance (yrs)	Performance Rate	Coupon Rate (%)	Market Average Yield (%)	Accepted Average Yield (%)
Jul-25	50,000	FXD1/2018/020 Re-opened	12.8		13.200%	13.945%	13.899%
		FXD1/2018/025 Re-opened	18.0	**153.8%**	13.400%	14.435%	14.348%
Aug-25	90,000	IFB1/2028/015 Re-opened	7.5		12.500%	13.530%	12.993%
		IFBI/2022/019 Re-opened	15.6	**359.4%**	12.965%	14.237%	13.999%
		IFB1/2028/015 Tapsale	7.5		12.000%	13.530%	
		IFBI/2022/019 Tapsale	15.6	**414.9%**	12.965%	14.237%	
Sep-25	40,000	FXD1/2018/020 Re-opened	12.5		13.200%	13.724%	13.080%
		FXD1/2022/025 Re-opened	22.2	**243.2%**	14.188%	14.246%	12.782%
Oct-25	50,000	FXD1/2018/015 Re-opened	7.7		12.750%	12.652%	12.385%
		FXD1/2021/020 Re-opened	15.9	**237.8%**	13.444%	13.529%	13.310%
Nov-25	40,000	FXD1/2012/020 Re-opened	7.0		12.000%	12.638%	12.471%
		FXD1/2022/015 Re-opened	11.4	**232.3%**	13.994%	13.467%	13.339%
	40,000	FXD3/2018/015 Re-opened	8.7		12.340%	12.746%	12.574%
		FXD1/2022/025 Re-opened	21.9	**289.7%**	14.188%	13.848%	13.746%
Dec-25	40,000	SDB1/2011/030 Re-opened	15.2		12.000%	13.439%	13.325%
		FXD1/2021/025 Re-opened	20.4	**132.8%**	13.924%	13.643%	13.620%
Jan-26	60,000	FXD1/2019/20 -Reopened	13.2		12.873%	13.329%	13.262%
		FXD1/2022/025 Re-opened	21.8	**119.2%**	14.188%	13.791%	13.756%
Feb-26	50,000	FXD3/2019/015 Re-opened	8.4		12.340%	12.388%	12.184%
		FXD1/2018/025 Re-opened	17.3	**427.5%**	13.400%	13.450%	13.362%
Mar-26	60,000	FXD1/2019/20 -Reopened	13.1		12.873%	12.786%	12.748%
		FXD1/2021/025 Re-opened	20.1	**195.7%**	13.924%	13.361%	12.949%
Apr-26	40,000	FXD1/2020/015- Re-opened	8.9		12.756%	12.272%	12.185%
		FXD1/2018/025 Re-opened	17.3	**187.2%**	13.400%	13.179%	12.987%
Apr-26	20,000	SDB1/2011/030 Re-opened	14.9		12.000%	13.110%	12.996%
		FXD1/2026/030 - New Issuance	30.0	**191.7%**	12.500%	13.867%	13.755%
May-26	80,000	FXD1/2012/020 Re-opened	6.6		12.000%	12.466%	12.457%
		FXD1/2019/020 Re-opened	13.0		12.873%	13.314%	13.213%
		FXD1/2021/025 Re-opened	20.1	**132.5%**	13.924%	13.766%	13.695%
Jun-26	40,000	FXD1/2020/015 Re-opened	8.7		12.756%	13.313%	13.312%
		FXD1/2018/025 Re-opened	17.1	**86.0%**	13.400%	14.233%	14.230%
Jun-26	15,000	FXD1/2020/015 Tap Sale	8.7		12.756%		
		FXD1/2018/025 Tap Sale	17.1	**58.4%**	13.400%		
Average*	**50,000**		**14.7**	**218.1%**	**13.079%**	**13.403%**	**13.206%**

*Source: CBK, AIB-AXYS Research, *- Yearly average results excludes tap sales*



CONTACTS

Research Desk

Email: research@aib-axysafrica.com

Equities Dealing

Email: trading@aib-axysafrica.com

Bond Dealing

Email: trading@aib-axysafrica.com

Global Markets & Offshore products

Email: invest@aib-axysafrica.com

Disclaimer

AIB-AXYS Africa and its parent company AXYS Group seek to do business with companies covered in their research reports. Consequently, a conflict of interest may arise that could affect the objectivity of this report. This document should only be considered a single factor used by investors in making their investment decisions. The reader should independently evaluate the investment risks and is solely responsible for their investment decisions. The opinions and information portrayed in this report may change without prior notice to investors.

This publication is intended solely for informational purposes and is not authorized for public distribution or use by the public media without prior and express written consent of AIB-AXYS Africa or AXYS Group. Redistribution or dissemination of this material, in whole or in part, is strictly prohibited and may lead to legal actions. By accessing this report, you acknowledge and agree to abide by these terms, ensuring the security and confidentiality of its contents.

This document does not constitute an offer, or the solicitation of an offer, for the sale or purchase of any security. Whilst every care has been taken in preparing this document, no representation, warranty or undertaking (express or implied) is given and no responsibility or liability is accepted by AIB-AXYS Africa or any of its employees as to the accuracy of the information contained and opinions expressed in this report.

Unlock our Exclusive Research spanning Macroeconomics, Equities, Fixed Income, and Sector-Specific Analyses now seamlessly on AlphaSense, LSEG, Tellimer, and S&P platforms

S&P Global Tellimer AlphaSense LSEG